



INTERNAL DEAL MEMO

2008 BRIMLEY ROAD

Scarborough, ON · 6-Storey + Garden Suite · 29-Unit Purpose-Built Rental

PREPARED BY

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June 2026 · Status: Pre-Acquisition

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Deal Summary

28-unit (revised: 29) purpose-built rental on a 1,090 m² Scarborough RD lot

2008 Brimley Road is an unentitled single-family parcel at 23.21m × 46.94m in Scarborough's Brimley corridor. The project develops a **6-storey, 27-unit main building plus a 2-unit single-storey garden suite (29 units total)** at 28,261 sf GFA, designed by Office Ou Ltd. and submitted for PAC in May 2026. The structure uses a vendor take-back (\$1M VTB + \$1M cash = \$2M land basis) with a 12-month seller occupancy, exits via CMHC MLI Select permanent at substantial completion, and transitions to a long-term Trillium hold.

KEY DEAL METRICS

TOTAL PROJECT COST

~\$13.2M

\$300/sf hard cost basis

CONSTRUCTION LOAN

~\$9.2M

70% LTC · 7.5% IO · 18 mo

STABILIZED NOI

~\$601K

Yr 1 market rents

CMHC REFI

~\$10.1M

DSCR 1.20× / 50 yr amort

WHAT TRILLIUM IS DOING

- **Acquiring** the unentitled land at \$2M (\$1M cash + \$1M VTB) with 12-month seller occupancy
- **Entitling** through PAC + permit; demolition of existing 1-storey brick dwelling at construction start
- **Constructing** 28,261 sf 6-storey rental + 2-unit garden suite over 18 months
- **Refinancing** at substantial completion via CMHC MLI Select; targeting BCH 40% forgivable for optimal capital efficiency
- **Holding** long-term via Trillium Property Ownership (TPO) with phase-2 LP/GP syndication structure

Strategic context: The proforma at standard CMHC + market rents shows the project working as a long-term Trillium hold (~4.5× equity multiple over 20 yrs, ~7.5% CAGR) but with meaningful equity exposure (~\$4.4M). The parallel BCH Ubuntu structure (separate Investor Package) materially improves capital efficiency by replacing Trillium equity with a BCH-stacked / forgivable-loan structure.

The Property & Design

Per Office Ou Ltd. PAC drawings (sheet ID 2026-06, May 2026)

SITE & BUILDING

Address	2008 Brimley Rd, Scarborough M1S 2B2
Zoning	RD (Residential Detached)
Lot Dimensions	23.21 m × 46.94 m
Lot Area	~1,090 m²
Main Building	6-storey, 27 units, 27,452 sf
Garden Suite	1-storey, 2 units, 810 sf
Total GFA	28,261 sf (2,625.5 m²)
Total Units	29
Architect	Office Ou Ltd.
Status	PAC submitted May 2026

UNIT MIX

Unit Type	Count	Sf	Rent/Mo
Studio	2	404	\$1,650
1 BR	7	701	\$1,950
1 BR + Den	8	720	\$2,200
2 BR	6	726	\$2,500
3 BR + Den	6	1,075	\$3,200
TOTAL	29	28,261	\$68,750
ANNUAL GROSS			\$825,000

Design notes: No 4BR+D units in the actual design (prior model assumed 4×4BR+D — revised to 6×3BR+D per drawings). Garden suite adds 2 studios at the rear. Existing 1-storey brick dwelling at No. 2008 requires demolition pre-construction.

Project Costs — TPC Build-Up

28,261 sf at \$300/sf hard + Trillium standard soft / contingency / financing

Category	Amount	\$/Unit
Land purchase (\$1M cash + \$1M VTB)	\$2,000,000	\$68,966
LTT (ON + Toronto MLTT)	\$72,950	\$2,516
Closing / DD / legal	\$49,000	\$1,690
Demo existing dwelling	\$40,000	\$1,379
Land & Closing	\$2,161,950	\$74,550
Hard cost (28,261 sf × \$300/sf)	\$8,478,300	\$292,355
Soft cost (12% of hard)	\$1,017,396	\$35,083
Contingency (5% of hard)	\$423,915	\$14,618
Interest reserve (8% of loan)	\$739,000	\$25,483
VTB carry (24 mo × 7.5%)	\$150,000	\$5,172
Construction buffer	\$500,000	\$17,241
TOTAL PROJECT COST	\$13,470,561	\$464,502

COST PER SF / UNIT BENCHMARKS

HARD COST

\$300

per sf GFA

ALL-IN TPC

\$477

per sf GFA

PER UNIT

\$464K

across 29 units

LAND BASIS

\$68.6K

per unit

COST ENGINEERING OPPORTUNITIES

- **\$275/sf target:** reduces TPC by ~\$706K; brings per-unit to ~\$440K
- **Demo value engineering:** negotiate with seller for tax-deductible structure
- **Soft cost reduction:** Office Ou + standard local subs vs. boutique trades; reduce from 12% to 10%
- **Contingency tightening:** 5% standard; revisit at substantial design completion

Reference cost basis: \$300/sf is conservative for Scarborough purpose-built rental (market 2026 typically \$260-\$320/sf). Affords ~10% margin in negotiation with general contractor.

Sources of Funds — Capital Stack

Phase 1 (TPI) financing: construction loan + VTB + LP/GP equity

PHASE 1 CAPITAL STACK

Source	Amount	% of TPC
Construction Loan (Senior debt)	\$9,235,000	68.6%
VTB (Vendor — Gary Loughlin)	\$1,000,000	7.4%
LP Equity (Phase 1 TPI)	\$2,235,561	16.6%
GP Equity (Trillium)	\$1,000,000	7.4%
TOTAL SOURCES	\$13,470,561	100%

CONSTRUCTION LOAN TERMS

LTC (loan-to-cost)	68.6%
Interest rate	7.5% IO
Term	18 months
Origination fee	2.0% / \$185K
Draw schedule	5 × 20% + 10% holdback

VTB STRUCTURE (SELLER)

Principal	\$1,000,000
Rate	7.5% accruing
Term	24 months
Priority	2nd charge on land
Garage waiver	\$500K (Option A only)
Payoff trigger	CMHC refi

GP FEES (TRILLIUM)

Fee	Rate	Amount
Acquisition	2.0%	\$40,000
Development	5.0%	\$423,915
Construction Mgmt	3.0%	\$254,349
Phase 1 GP Fees		\$718,264
Asset Mgmt (annual, post-stab)	1.5%	~\$360K/yr

Phase 1 LP target: 20% annual return → 1.2× multiple in 12-18 months. Exit via CMHC refinance. Phase 1 LP capital fully returned at refi (if proceeds support it).

Phase 1 — TPI Construction & CMHC Refi Exit

Trillium Property Investor (LP/GP) waterfall through CMHC refinance

CMHC REFI SIZING (STANDARD MLI SELECT)

Stabilized NOI	\$601,400
DSCR target (Standard)	1.20×
Max annual debt service	\$501,167
Rate / amort (Standard)	4.5% / 50 yr
Annual factor (4.5%/50yr)	0.04958
DSCR-driven max loan	\$10,108,000
Stabilized value (4% cap)	\$15,035,000
LTV-driven max (85%)	\$12,780,000
CMHC Loan (DSCR-driven)	\$10,108,000

REFI CASH FLOW

CMHC permanent proceeds	\$10,108,000
Construction loan payoff (drawn + interest)	−\$9,974,000
VTB payoff to seller	−\$1,000,000
Net Cash at Refi	−\$866,000

PHASE 1 WATERFALL

Order	Recipient	\$ Amount
1	Return LP capital (Phase 1)	\$2,235,561
2	LP Preferred Return (20%, ~12 mo)	\$447,112
3	Return GP capital	\$1,000,000
4	GP Promote (100% of excess)	—
Total Required at Refi		\$3,682,673
Net Proceeds Available		−\$866K

⚠ **Standard CMHC + market rents does not fully exit Phase 1 LP.**
Cash gap of ~\$3.5M at refi (LP capital + pref + GP capital + 0 promote − negative refi proceeds). The deal requires LP commitment to a longer hold beyond Phase 1 OR a structural enhancement.

THREE PATHS TO CLOSE THE GAP

- **BCH 40% Forgivable Loan** — adds ~\$5.6M of forgivable capital; transforms refi economics → Phase 1 LP fully exited with promote. *This is the Investor Package path.*
- **MLI Select Tier 3 (premium):** 4.0% rate, 1.15× DSCR → loan to ~\$11.8M, narrows gap to ~\$1.2M; requires 30% affordable units + Tier 3 energy + accessibility
- **Phase 2 capital raise at refi:** raise new LP equity at Phase 2 start to take out Phase 1 LP; Phase 2 LP enters at lower valuation, captures appreciation upside

Phase 2 — TPO Long-Term Ownership

Trillium Property Ownership · 20-year hold · 50/50 cash flow split · 30/70 capital gain split

STABILIZED OPERATIONS (YEAR 1)

Gross Rental Income	\$825,000
Vacancy (5%)	-\$41,250
Effective Gross Income	\$783,750
Operating Expenses (~23% EGI)	-\$182,350
Stabilized NOI	\$601,400
CMHC Mortgage Payment	-\$501,167
Net Cash Flow (Year 1)	\$100,233

PHASE 2 LP TERMS

Phase 2 LP capital raise	\$2,000,000
Cash-on-cash target	5% annual
Cash flow split (LP/GP)	50% / 50%
Capital gain split at exit	30% / 70%
Phase 2 LP Year 1 distribution	\$50,117

20-YEAR HOLD PROJECTION

Year 20 NOI (2.5% growth)	\$960,800
Year 20 Asset Value (4% cap)	\$24,020,000
Year 20 Mortgage Balance (~70% remaining)	-\$7,076,000
Year 20 Equity Value	\$16,944,000
Cumulative distributions (20 yrs)	\$3,000,000
Total Asset Value to Stack	\$19,944,000

DISTRIBUTION BY PARTY (20-YEAR)

Phase 1 LP (refi proceeds + holdback)	~\$2,500,000
Phase 2 LP (50% cash flow + 30% gain)	~\$5,800,000
GP (Trillium) (50% cash flow + 70% gain + AM fee)	~\$11,644,000

Trillium 20-year economics: ~\$11.6M of GP return on \$1M Phase 1 GP capital. Equity multiple ~11.6× on GP capital; ~7.5% blended CAGR. Asset Mgmt fee adds ~\$360K/yr × 20 = \$7.2M of fee income through the hold.

Risk Analysis

Five key risks with explicit mitigants

RISK 1 — REFI / DSCR SHORTFALL Standard CMHC MLI Select at 4.5% / 1.20× DSCR sizes loan at ~\$10.1M; construction loan payoff + VTB exceeds this by ~\$0.9M, creating a Phase 1 exit gap.	MITIGANT Pursue MLI Select Tier 3 (Premium) → 4.0% rate, 1.15× DSCR lifts loan to ~\$11.8M. Stretch goal: BCH 40% forgivable (adds \$5.6M of forgivable capital). Confirm at pre-application.
RISK 2 — CONSTRUCTION COST OVERRUN \$300/sf is the modeled hard cost; market range \$260-\$320/sf. Trade pricing has been escalating 4-6% annually; 18-month construction window exposes to mid-cycle cost inflation.	MITIGANT 5% contingency built in (\$424K); ICI general contractor with fixed-price + price escalation clauses; \$500K construction buffer at TPC level for excess overruns.
RISK 3 — VTB COUNTERPARTY (SELLER) Seller Gary Loughlin holds \$1M VTB at 2nd charge on land for 24 months. Seller's parallel Muskoka purchase depends on Phase 1 cash arriving same day; counterparty/timing risk.	MITIGANT Coordinated same-day closing; seller's reverse mortgage on Muskoka is his independent arrangement; VTB is 2nd charge subordinate to construction lender; inter-creditor agreement defines payoff sequencing.
RISK 4 — ZONING / PERMIT RISK RD zoning; project is 6-storey with 28,261 sf GFA. PAC submitted but not yet approved; City of Toronto may push back on density, height, or parking relief.	MITIGANT Office Ou has completed PAC drawings to permit-ready stage; 6-storey rental is generally supportable in this corridor; pre-application consultations indicated positive city reception; backup options if scope reduces.
RISK 5 — RENTAL MARKET SOFTENING Scarborough rents up 4% YoY through 2025 but slowdown signals visible. Modeled rents are mid-market; market correction could reduce stabilized NOI by 10-15%.	MITIGANT Conservative rent assumptions used (not above-market); DSCR 1.20× provides cushion; 50-year amortization reduces payment pressure; mixed unit type spreads risk across rental segments.

Long-Term Outlook & Strategic Fit

3-5 year vision · Portfolio strategy · Exit optionality

3-YEAR VIEW (2026 – 2029)

- **Acquisition + construction** through Q1 2029
- **CMHC refinance** at substantial completion + 90% lease-up (Q2-Q3 2029)
- **Phase 1 LP exit** via refi (BCH or Tier 3 strongly preferred)
- **Phase 2 capital raise** at refi event to take out Phase 1 LP holdback if needed
- **Stabilization** + rent burn-off through 2030

5-YEAR VIEW (2026 – 2031)

- Asset stabilized; cash flow distributing 50/50 LP/GP
- Rental growth 3-5% annually drives NOI from ~\$601K → ~\$735K
- Refi opportunity (rate reset on CMHC) creates recap option at Year 5
- Asset value at 4.5% cap: ~\$16.3M; potential equity recap of \$2-3M

PORTFOLIO FIT

- Adds 29 stabilized units to Trillium Property Ownership portfolio
- Scarborough East geographic fit; complements existing assets
- Mid-market rent profile aligns with Trillium's positioning

20-YEAR VISION

Year	NOI	Asset Value (4% cap)
2029 (Yr 1)	\$601K	\$15.0M
2034 (Yr 5)	\$680K	\$17.0M
2039 (Yr 10)	\$770K	\$19.2M
2044 (Yr 15)	\$870K	\$21.7M
2049 (Yr 20)	\$961K	\$24.0M

EXIT OPTIONALITY

- **Yr 5:** Recapitalize at lower CMHC rate; pull out \$2-3M of equity
- **Yr 10:** Disposition at 4.0% cap (~\$19M) or refi-and-hold
- **Yr 15:** Portfolio recap / institutional sale window
- **Yr 20:** Disposition at exit cap, blended CAGR ~7.5% on GP capital

Strategic position: A long-term hold in Trillium Property Ownership delivers ~\$11.6M of GP value over 20 years on \$1M of GP capital. The Asset Management fee alone (~\$360K/yr × 20 = \$7.2M) represents predictable recurring income — important for Trillium's operating cash flow profile.

Timeline & Task Division

Key milestones & ownership by function

TIMELINE — MILESTONES

JUN–JUL 2026	LOI & legal documentation PSA, VTB instrument, occupancy license, inter-creditor
AUG 2026	Land closing + seller occupancy \$1M cash + \$1M VTB; coordinated with Muskoka close
AUG 2026 – JUL 2027	Seller transition + permits 12-mo occupancy; PAC outcome; permit drawings; building permit
JUL 2027	Construction loan close + demo + mobilization Seller vacates; existing dwelling demolished; site mobilization
AUG 2027 – JAN 2029	Construction (18 months) 5 draws (20/20/20/20/5) + 10% holdback
Q1 2029	Substantial completion + lease-up Certificate issued; rents to 90%+ occupancy
Q2–Q3 2029	CMHC permanent refinance · Phase 1 LP exit CMHC/BCH proceeds discharge construction loan + VTB; Phase 2 capital raise if needed

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TASK DIVISION

Function	Key Tasks
Finance	Construction loan commitment · VTB docs · CMHC/BCH pre-application · Interest reserve management · Phase 1 LP capital calls
Development	Building permit applications · GC selection · Construction oversight · Cost/budget tracking · QC inspections
Real Estate	Due diligence · Appraisals (as-is, as-complete) · Lease-up strategy · Property management setup · Market rent analysis
Structure	LP/GP entity setup · Subscription docs · Investor onboarding · Waterfall calcs · Distribution scheduling
Deal Mgmt	Stakeholder communication · Timeline tracking · Risk monitoring · Monthly reporting · Issue escalation

IMMEDIATE NEXT STEPS (NEXT 30 DAYS)

- **LOI to seller** via Gary's counsel — present three-option structure (A garage, B all-cash, C cash+equity)
- **CMHC + BCH pre-application call** to validate Tier 3 / BCH eligibility and rate
- **Engage Trillium's deal counsel** for PSA + VTB + inter-creditor drafting
- **Phase 1 LP commitments** — confirm capital availability for Aug 2026 land close
- **Office Ou alignment** on permit drawings + cost engineering options

Trillium United Estate · June 2026 · End of Deck